



KUALA LUMPUR UNIVERSITY OF SCIENCE AND TECHNOLOGY

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Assignment 1: E-COMMERCE CONCEPTS REPORT

Business Analysis of Shein

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AI Usage Declaration

Declaration: This assignment includes content assisted by (Gemini) for idea generation and checking grammar in Sections 3 and 4. The final writing and analysis reflect my own understanding.

1. Introduction

Electronic Commerce (E-Commerce) is growing very fast in the fashion industry. It allows customers to buy clothes online without visiting physical shops. For this assignment, I have chosen **Shein**, a famous international online fashion store.

Shein is very popular among young people in The world because it sells trendy clothes at very low prices. This report will explain the E-Commerce concepts used by Shein, its business model, its target market, and how it competes with other companies like Zalora.

2. EC Concepts & Definitions

To better comprehend Shein as an e-commerce platform we need to first define three key e-commerce platforms which are

- **Electronic Commerce (EC):** The definition for electronic commerce is the act of purchasing or selling goods via the Internet or other digital network. Laudon & Traver, (2020) states that Shein is a pure play electronic commerce firm. What this means is that Shein has no physical stores and therefore all sales take place online at www.shein.com or by way of their mobile application.
- **Business-to-Consumer (B2C):** This is defined as when businesses sell products to individual consumers. As such Shein is a B2C company. Shein designs clothing and then sells the clothing to you, the consumer.
- **Mobile Commerce (M-Commerce):** M-commerce can be described as when you purchase items using your mobile device, i.e., smartphone etc. Shein's ability to use a mobile application that is user friendly and encourages users to scroll and make purchases using their phone, is one reason why they have been so successful.

3. Business Model Selection

Shein is a business-to-consumer (B2C) company for three reasons:

1. **Direct sales:** Shein either makes the clothing products it sells (and/or works with factories), then sells them to consumers without an intermediary.
2. **A Retail Focus:** Shein is an online retail store of general merchandise in addition to selling clothing products online.
3. **Global Reach:** Because Shein uses an online B2C model it is able to sell products to customers in excess of 150 different countries -- including Malaysia -- all from one online location. As such Shein meets the B2C definition as outlined by Schneider (2016).

4. Target Market & Customer Needs

Target Group:

The primary target group for SHEIN are Gen Z and young millennials (between 18 – 30 years old) in Malaysia. Specifically, this can include Malaysian university students and young working professionals who enjoy fashion but are on a tight budget.

Needs of the Customer:

Young consumers desire affordability as they would like to wear new clothing; however, they are unable to purchase at the same price point as established fashion brands such as Zara or Uniqlo.

SHEIN meets these needs through affordable pricing with some tops priced as low as RM10.

Variety is also an important need of customers. The customer base has an overwhelming number of options available to them. This is met through SHEIN's daily addition of over 1,000 new styles making it possible to find something new each time you visit their website.

Another key need of the customer is convenience. Consumers wish to shop for clothing from their own bedrooms. SHEIN meets this need through direct delivery to the doorstep of its customers in Malaysia.

5. Competitor Analysis

Shein's main competitors in Malaysia are **Zalora** and **Shopee (Fashion Category)**.

Feature	Shein	Zalora	Shopee (Fashion)
Price	Very Low: Extremely cheap prices.	Medium-High: Sells branded items (Nike, Adidas).	Varied: Some cheap, some expensive.
Quality	Low-Medium: Fast fashion quality.	High: Authentic brands and good materials.	Mixed: Depends on the seller.
Delivery Time	Slow: Shipping from China takes 1-2 weeks.	Fast: Local stock arrives in 2-3 days.	Fast: Local sellers are quick.

Comparison:

For those that prefer the quality of their brand name clothing with an added bonus of fast shipping options, Zalora is the better option. The drawback to this is the cost, you will pay much more at Zalora than on other sites. If you need every item possible then Shopee is your site; however, finding trendy clothing can be difficult as there are so many seller options. For students, Shein offers the most affordable prices for the latest in fashion trends while also providing free shipping (once your

order is processed). Keep in mind, you will have to wait a full seven days before receiving your items after they ship.

6. Value Proposition

Shein's Value Proposition represents how much customers enjoy shopping at Shein.

Value Proposition: "Fashion that's on-trend now – and available today – all at unbeatable prices – delivered right to your door."

What makes is so special:

1. Shein's Fashion is in the Moment: Shein looks at all the current trends on social media (Instagram and Tik Tok) and creates items for sale that are currently popular. This allows them to get to market quicker than H&M and Zara.
2. The Fun of Shopping at Shein: When you shop at Shein, the app has elements of games. Every time you log into the app to check in, you earn points. You also earn points when you leave a review about an item. These points turn into discounts, making the experience of shopping fun.
3. So Many Choices at Shein: No other retailer offers as many options as Shein. Shein has thousands of options available for every type of clothing you may want to purchase. Most likely if you are looking for a specific style or color, you can find it at Shein.

7. Conclusion

In conclusion, Shein is an influential B2C E-commerce business which has created significant disruption in the fashion world by using mobile technology to reduce costs, to speed up product development and meet the wants of young, lowcost consumers in Malaysia who are looking for fast, affordable and fashionable clothing products. While Shein has many competitors (such as Zalora) with faster shipping options and higher quality products, Shein's price advantage combined with its game design and huge range of products allows Shein to have a competitive advantage. In short, Shein proves that understanding customer behavior — particularly their desire for affordable products and online experience — is the key to maintaining sustainable long-term profitability in the highly competitive global e-commerce space.

References

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